BEFORE THE DIRECTOR OF

THE ARIZONA DEPARTMENT OF HEALTH SERVICES

In the Matter of: Natural Relief Clinic, Inc. dba Green Farmacy	))))))))))	Docket No.: 2026-ADU-T0076-MDHS NOTICE OF ASSESSMENT OF CIVIL MONETARY PENALTIES AND NOTICE OF RIGHT TO REQUEST ADMINISTRATIVE HEARING

I. JURISDICTION

The Arizona Department of Health Services ("Department") is charged by Arizona Revised Statutes ("A.R.S.") § 36-132(A)(1) with the power and duty to enforce the body of laws that protect the health of the people of the State of Arizona. In addition, A.R.S. § 36-136(G) authorizes the Director of the Department ("Director") to "make and amend rules necessary for the proper administration and enforcement of the laws relating to the public health."

The Smart and Safe Arizona Act ("SASAA"), A.R.S. § 36-2850 *et seq*., was passed and became effective in November 2020. Rules adopted by the Department to implement the SASAA, Arizona Administrative Code ("A.A.C") R9-18-101 *et seq*., became effective January 15, 2021, as thereafter amended ("Rules").[1] *See* A.R.S. § 36-2854 (giving the Department rulemaking authority under the SASAA).

Under A.R.S. § 36-2854(B)(3), the Department may, "[a]t any time during regular hours of operation, visit and inspect a marijuana establishment, marijuana testing facility or dual licensee to determine if it complies with [the SASAA] and [the Rules]." The Department "shall make at

[1] Amendments to the Rules were filed with the Arizona Secretary of State on November 25, 2025, but with a delayed implementation date of July 1, 2026. All references and citations herein are to the version of the Rules currently in effect.

least one unannounced visit annually to each facility licensed pursuant to this chapter." *Id*.

The Department may assess a civil monetary penalty against a marijuana establishment in an amount not to exceed $2,000.00 for each violation of the SASAA or the Rules. A.R.S. §§ 36-2854(B)(2), -2858(B). "Each day a violation occurs constitutes a separate violation." A.R.S. § 36-2854(B)(2). In determining the amount of a civil monetary penalty, the Department considers: (1) "[r]epeated violations of [the SASAA] or [the Rules]," (2) "[p]atterns of noncompliance," (3) "[t]he types of violations," (4) "[t]he severity of the violations," (5) "[t]he potential for and occurrences of actual harm," (6) "[t]hreats to health and safety," (7) "[t]he number of violations," (8) "[t]he number of persons affected by the violations," and (9) "[t]he length of time the violations have been occurring." A.R.S. §§ 36-2816(H), -2854(B)(2).

II. MARIJUANA ESTABLISHMENT LICENSE HISTORY

Natural Relief Clinic, Inc. dba Green Farmacy ("Green Farmacy") is licensed by the Department as a marijuana establishment under License No. 00000066ESUJ44186931 and is authorized to operate an establishment offsite cultivation facility at 201 S. 36th Street, Phoenix, AZ 85034 ("Cultivation Site").

On July 24, 2025, the Department conducted an inspection at the Cultivation Site under A.R.S. § 36-2854(B)(3). On August 7, 2025, the Department issued a written statement of deficiencies ("SOD") setting forth the deficiencies and violations of the SASAA and the Rules that the Department observed during or in connection with the inspection. The SOD is attached hereto as Exhibit A, with the exception of its appendices/exhibits/attachments, which were sent to Green Farmacy on August 7, 2025 and are available upon request. The SOD is incorporated by reference, and the deficiencies and violations for which the Department is assessing civil monetary penalties totaling $4,000 are identified below.

III. REASONS FOR THE ASSESSMENT OF CIVIL MONETARY PENALTIES

As set forth in the SOD, Green Farmacy violated multiple requirements of the SASAA and the Rules relating to the required policies and procedures, the process for collecting samples for testing, the linking of facility agents to Green Farmacy's establishment license, and the required maintenance of security camera footage. *See* A.A.C. R9-18-308(A)(2)(d), -308(A)(6), -311(B)(2), and 312(I)(1)(c).

A. Green Farmacy Failed to Develop, Document, and Implement Required Policies and Procedures Relating to Testing.

Marijuana establishments are required to develop, document, and implement policies and procedures for laboratory testing. A.A.C. R9-18-308(A)(2)(d). The policies and procedures must include, among other things:

- "[t]he process for collecting samples of marijuana or a marijuana product for laboratory testing, according to [A.A.C.] R9-18-311(B)(2), including (1) [t]he amount to be collected from each batch [and] (2) the method for ensuring that a sample collected is representative of the batch;"
- "[t]he process for specifying the analytes to be tested for, consistent with [A.A.C.] R9-18-311(A);"
- "[t]he process for requesting retesting of the remaining portion of a sample of marijuana or a marijuana product;" and
- "[a]ctions to be taken on the basis of laboratory testing results."

A.A.C. R9-18-308(A)(2)(d)(iii)-(vi).

During the inspection, the Department reviewed Green Farmacy's documented policies and procedures and found that they did not address the latter three required topics. By failing to develop, document, and implement policies or procedures explaining the process for specifying the analytes to be tested for, the process for requesting retesting of the remaining portion of a

sample, and the actions to be taken on the basis of laboratory testing results, Green Farmacy violated A.A.C. R9-18-308(A)(2)(d)(iv)-(vi).

Additionally, Green Farmacy's policies and procedures regarding the process for collecting samples for laboratory testing did not provide instructions for collection of samples "according to [A.A.C.] R9-18-311(B)(2), including (1) [t]he amount to be collected from each batch [and] (2) the method for ensuring that a sample collected is representative of the batch." A.A.C. R9-18-308(A)(2)(d)(iii).

A.A.C. R9-18-311(B)(2) requires marijuana establishments to ensure all samples are "collected according to ANSI/ASQ Standard Z1.4 (2018), General Inspection Level II, incorporated by reference, including no future editions, and available at https://asq.org/quality-resources/z14-z19" ("ANSI/ASQ"), which includes a method for calculating a sample size depending on the batch size. It also requires establishments to use an approved method, such as star pattern sampling from the top, middle, and bottom of each storage container, to collect samples. A.A.C. R9-18-311(B)(2)(a). If an establishment elects to use the star pattern method, after using the star pattern to collect the appropriate sample size pursuant to the ANSI/ASQ formula, the establishment must thereafter "quarter[] the volume of the aggregated portions collected to obtain the [sample size required for testing and retesting]." A.A.C. R9-18-311(B)(2)(b).

During the inspection, the Department reviewed Green Farmacy's documented policies and procedures and found that they did not mention ANSI/ASQ or otherwise incorporate the ANSI/ASQ method for calculating the appropriate sample size for testing.

For marijuana flower sample collection, the policies and procedures directed employees to collect 16 grams from "[t]he strain that yielded the most" for full panel laboratory testing, and 1 gram from "[a]ll other strains from that room/harvest" to test for potency. For edible products,

the policies and procedures stated that 6 of every 3000 final products produced should be tested.

Neither the fixed sample size of 16 grams of marijuana flower regardless of the batch size nor the sampling ratio (6 out of every 3000) of final edible products is consistent with ANSI/ASQ. Pursuant to A.A.C. R9-18-311(B)(2) and ANSI/ASQ, for a batch of 3000 edible products, an establishment must collect a sample size of 125 products. Additionally, ANSI/ASQ does not apply a set size or ratio. Instead, the appropriate sample size under ANSI/ASQ fluctuates nonlinearly based on the batch size.

Only after it has collected the sample size calculated under ANSI/ASQ may an establishment "quarter[] the volume of the aggregated portions collected to obtain the [sample size required for testing and retesting]." A.A.C. R9-18-311(B)(2)(b). During the inspection, the Department found no mention of this process in Green Farmacy's policies and procedures.

Green Farmacy's documented policies and procedures also fail to set forth a method for ensuring that a marijuana flower sample that is collected is representative of the batch. Instead, they instruct employees to collect a marijuana sample from the "strain that yielded the most."

Based on the foregoing, the processes set forth in Green Farmacy's policies and procedures for collecting samples of marijuana or marijuana products for laboratory testing did not comply with A.A.C. R9-18-311(B)(2), "including (1) [t]he amount to be collected from each batch [and] (2) the method for ensuring that a sample collected is representative of the batch." A.A.C. R9-18-308(A)(2)(d)(iii).

Green Farmacy's policies and procedures also state that samples of marijuana flower should be collected "[a]fter drying/curing." However, two Green Farmacy facility agents interviewed by the Department at the inspection stated that samples of marijuana flower are collected for testing after the batch of marijuana is bucked but before it is cured. Thus, Green Farmacy has also failed to implement its written policies and procedures regarding the process

for collecting samples of marijuana for laboratory testing.

Based on the foregoing, Green Farmacy failed to develop, document, and implement policies and procedures for laboratory testing that included the information specified in A.A.C. R9-18-308(A)(2)(d)(iii) through (vi). The Department is assessing a $1,000 civil monetary penalty against Green Farmacy for the violations of A.A.C. R9-18-308(A)(2)(d).

B. Green Farmacy Failed to Comply with Required Sampling Methods.

As described above, A.A.C. R9-18-311(B)(2) requires a two-step process for collecting samples. First, an establishment that elects to use the star pattern method of collection must determine the necessary sample size based on the size of the batch, calculated using the ANSI/ASQ. A.A.C. R9-18-311(B)(2)(a). Only after collecting the sample size required under the ANSI/ASQ may the establishment then quarter the sample collected to arrive at the sample size required by the lab. A.A.C. R9-18-311(B)(2)(b).

During the inspection, the Department interviewed Green Farmacy's Operations Manager and Flower Packaging Supervisor, each of whom stated that Green Farmacy uses the star pattern method but collects only the minimum sample size required by the lab rather than collecting the appropriate sample size under ANSI/ASQ and quartering the sample collected to arrive at the sample size required by the lab.

Based on the foregoing, Green Farmacy failed to comply with the requirements specified in A.A.C. R9-18-311(B)(2) when collecting samples. The Department is assessing a $1,000 civil monetary penalty against Green Farmacy for the violation of A.A.C. R9-18-311(B).

C. Green Farmacy Failed to Link Employees to its Establishment License.

Marijuana establishments are required to "[e]nsure that all principal officers, board members, employees and volunteers providing services for the marijuana establishment maintain valid marijuana facility agent licenses with the Department and that the marijuana facility agent

licenses are linked to the marijuana establishment through the Department's electronic system." A.A..C. § R9-18-308(A)(6).

At the inspection, the Department observed that six Green Farmacy facility agents who were present and working at the Cultivation Site at the time of the inspection were not properly linked to Green Farmacy's marijuana establishment license through the Department's electronic system, as required in A.A.C. R9-18-308(A)(6). At the time, the Department's electronic system reflected only a pending request to link one of these facility agents to Green Farmacy's marijuana establishment license, and it did not show any links or requests to link the other five facility agents.

Based on the foregoing, Green Farmacy failed to ensure six of its facility agents were registered/linked to its establishment license in the Department's electronic system before working or providing services at the Cultivation Site in violation of the Rules. *See* A.A.C. R9-18-308(A)(6). The Department is assessing a $1,000 civil monetary penalty against Green Farmacy for its violations of A.A.C. R9-18-308(A)(6).

D. Green Farmacy Failed to Maintain the Required Camera Footage.

Marijuana establishments must comply with the Department's rules relating to security and unauthorized access, including the requirement that establishments must store required video camera recordings for at least 30 calendar days. A.A.C. R9-18-312(I)(1)(c)(vi). At the inspection, the Department reviewed Green Farmacy's video camera recordings and observed that only recordings of the preceding 9 days were stored and available for review.

The Department is assessing a $1,000 civil monetary penalty against Green Farmacy for its failure to comply with the requirement that it store all required recordings from the prior 30 days under A.A.C. R9-18-312(I)(1)(c)(vi).

IV. FINDINGS, NOTICES, AND INSTRUCTIONS TO REQUEST A HEARING

YOU ARE HEREBY NOTIFIED that based on the foregoing and the nature of the violations identified herein, as further described in the SOD attached as Exhibit A, which is incorporated by reference, and pursuant to A.R.S. § 36-2854(B)(2), the Department hereby assesses civil monetary penalties against Natural Relief Clinic, Inc. dba Green Farmacy, License No. 00000066ESUJ44186931, in the amount of $4,000.00 for failure to comply with the SASAA and the Rules, as set forth herein. The civil monetary penalties assessed in this Notice of Assessment of Civil Monetary Penalties ("Notice") are limited to the violations identified in the SOD. The assessment of additional civil money penalties for additional or continued violations of the SASAA or the Rules is a separate matter outside the scope of this Notice and may be sought at a later date.

YOU ARE ADVISED that you have the right to request a hearing before the Arizona Office of Administrative Hearings and to have an Administrative Law Judge review this Notice. A.R.S. § 41-1092.03(B). You may request a hearing by submitting a written request to the Clerk of the Department, Arizona Department of Health Services, **by email** at ACR@azdhs.gov, or **by mail** at 150 North 18th Avenue, Suite 540, Phoenix, AZ 85007 **within thirty (30) calendar days** after this Notice is received. *Id*. If you submit a timely request for a hearing, you will be given an opportunity at the hearing to respond to this Notice and to present evidence and argument on all relevant issues. A.R.S. § 41-1092.07(D). You have the right to be represented by counsel or to proceed without counsel. A.R.S. § 41-1092.07(B).

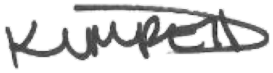
IF YOU TIMELY REQUEST A HEARING, YOU ALSO MAY REQUEST that the Department hold an informal settlement conference by submitting a written request to the Department **no later than twenty (20) calendar days** before the hearing scheduled in the matter. *See* A.R.S. § 41-1092.06(A). Such a request shall be sent **by email** to PHLENF@azdhs.gov, or **by mail** to Kim Crawford, Bureau Chief, Bureau of Marijuana Licensing, Arizona Department of

Health Services, 150 N. 18th Ave., Suite 140, Phoenix, Arizona 85007.

IF YOU DO NOT TIMELY REQUEST A HEARING following receipt of this Notice, the assessment of civil monetary penalties in the amount of $4,000.00 **will be automatically effective immediately upon the expiration of the thirty (30) day period following receipt of this Notice**, and the Department's assessment of civil monetary penalties in the amount of $4,000.00 will not be subject to administrative or judicial review. A.R.S. §§ 12-902(B), 41-1092.08(H).

DATED this 13th day of February, 2026.

ARIZONA DEPARTMENT OF HEALTH SERVICES



Kimberly Reid
Director's Designee

ORIGINAL filed this 13th day of February, 2026,
with:

Clerk of the Department
Arizona Department of Health Services
150 N. 18th Ave., Ste 540
Phoenix, AZ 85007

COPY of the foregoing mailed certified mail,
return receipt requested this 13th day of February, 2026 to:

Registered Agents Inc
Statutory Agent, Natural Relief Clinic, Inc.
1846 E. Innovation Park Drive
Suite 100
Oro Valley, AZ 85755

Carsten Loelke, President/CEO & Director
Natural Relief Clinic, Inc.
201 S. 36th Street
Phoenix AZ 85034

Elizabeth Loelke, Vice President & Director
Natural Relief Clinic, Inc.
201 S. 36th Street
Phoenix AZ 85034

COPIES of the foregoing sent by electronic/interdepartmental/
regular mail this 13th day of February, 2026, to:

Registered Agents Inc
Statutory Agent, Natural Relief Clinic, Inc.
1846 E. Innovation Park Drive
Suite 100
Oro Valley, AZ 85755

Carsten Loelke, President/CEO & Director
Natural Relief Clinic, Inc.
201 S. 36th Street
Phoenix AZ 85034
carsten@naturalreliefclinic.com

Elizabeth Loelke, Vice President & Director
Natural Relief Clinic, Inc.
201 S. 36th Street
Phoenix AZ 85034
elizabeth@yilo.com

Jennifer Cunico, Deputy Director, Public Health Operations & Licensing
Megan Whitby, Deputy Assistant Director, Public Health Licensing
Kim Crawford, Bureau Chief, Bureau of Marijuana Licensing
Jason Swank, Deputy Bureau Chief, Bureau of Marijuana Licensing
Stacy Marchelli, Compliance Manager, Bureau of Marijuana Licensing
Arizona Department of Health Services
150 N. 18th Ave., Suite 140
Phoenix, AZ 85007

Gregory W. Falls
Matthew Hesketh
Carli Simkin
Tammy Potter
Taft Stettinius & Hollister LLP
gfalls@taftlaw.com
mhesketh@taftlaw.com
csimkin@taftlaw.com
tpotter@taftlaw.com

Stephanie Elzenga, General Counsel
ADHS/Director's Office
150 N. 18th Ave.
Phoenix, AZ 85007
gco@azdhs.gov

Exhibit A

ARIZONA DEPARTMENT OF HEALTH SERVICES
150 N 18th Ave, Suite 400
Phoenix, AZ 85007
602-364-2536

Inspection Details

Facility Name	Natural Relief Clinic Inc
License #	00000066ESUJ44186931
Inspection #	INSP-0137154
Inspection Date(s)	07/24/2025
Status	Enforcement
Address	201 S 36th St, Phoenix, AZ 85034
Issued Date	08/07/2025

Statement of Deficiencies

A Plan of Correction (POC) must be submitted for each deficiency cited.

Initial Comments:

Item Description	Evidence
A.A.C. R9-18-305(D) D. A marijuana establishment shall not cultivate, manufacture, distribute, dispense, or sell marijuana or a marijuana product at a new location of the marijuana establishment's retail site, manufacturing site, or cultivation site or make a change in the activities conducted at a current location until the marijuana establishment: 1. Submits an application for a change in R9-18-306; and 2. Receives from the Department an amended marijuana establishment license or an approval for: a. The new location of the marijuana establishment's retail site, manufacturing site, or cultivation site; or b. The requested change in the activities conducted at a current location.	A. Based on a documentation review and an interview, the establishment failed to submit an application before making changes in activities conducted at their cultivation site. Evidence includes: A documentation review of the 11/29/24, 30-day audit inventory count, located in the KLER electronic system, revealed a discrepancy for one Holiday Mint Fudge, 100 mg THC Hybrid PR56324.1. In an interview, Facility Agent 1 (FA1), reported the adjustment reason was noted as "Owner Sample." FA1 reported samples manufactured and/or packaged by the establishment are dispensed to the Principal Officer/Board Member and facility agents at the establishment cultivation/manufacturing site. FA1 acknowledged dispensed product is not tracked on paper or electronically when dispensed to facility agents. FA1 stated vendors from other licenses are permitted to dispense samples to facility agents when the vendors arrive to pick up and transport product. FA1 stated the samples are not considered acquired product and are not entered into the establishments inventory control system.
A.A.C. R9-18-308(A)(2)(a) A. A marijuana establishment shall: 2. Develop, document, and implement policies and procedures regarding: a. Job descriptions and employment contracts, including: i. Personnel duties, authority, responsibilities, and qualifications; and ii. Supervision.	Based on a documentation review and an interview, the establishment did not develop, document, and implement policies and procedures regarding job descriptions and employment contracts, including: personnel duties, authority, responsibilities, qualifications and supervision. Evidence includes: In an interview, Facility Agent 10 reported that their job title is Manager Lead-Flower Packaging. In an interview, Facility Agent 12 reported their job title is Delivery & Lab Manager. The policies and procedures were reviewed for the Manager Lead-Flower and Delivery & Lab Manager job positions but they were not in the document.
A.A.C. R9-18-308(A)(2)(d) A. A marijuana	A. Based on a documentation review and interviews, the establishment failed to

ARIZONA DEPARTMENT OF HEALTH SERVICES
150 N 18th Ave, Suite 400
Phoenix, AZ 85007
602-364-2536

establishment shall: 2. Develop, document, and implement policies and procedures regarding: d. Laboratory testing, including: i. The analytes, including possible contaminants, to be tested for; ii. The process for separating a batch of marijuana or of a marijuana product until laboratory testing has been completed and testing results received by the marijuana establishment, as specified in R9-18-311(B)(1); iii. The process for collecting samples of marijuana or a marijuana product for laboratory testing, according to R9-18-311(B)(2), including: (1) The amount to be collected from each batch, (2) The method for ensuring that a sample collected is representative of the batch, (3) The packaging of the sample, (4) The method for documenting chain of custody for the sample, and (5) Methods to deter tampering with the sample and to determine whether tampering has occurred; iv. The process for specifying the analytes to be tested for, consistent with R9-18-311(A), and either: (1) Providing samples of marijuana or marijuana products to a marijuana testing facility for testing, or (2) Allowing a marijuana facility agent associated with a marijuana testing facility access to marijuana or marijuana product to collect samples; v. The process for requesting retesting of the remaining portion of a sample of marijuana or a marijuana product; and vi. Actions to be taken on the basis of laboratory testing results;	develop, document, and implement policies and procedures regarding the process for collecting samples of marijuana or a marijuana product for laboratory testing, according to R9-18-311(B)(2). A review of the establishment's policies and procedures for collecting samples reveals that it does not mention the use of ANSI/ASQ. Rather, for collecting flower samples, it directs the employee to collect 16g from the strain that yielded the most for full panel testing, and 1g from all other strains from that room/harvest for potency testing. Both collections are to use the star pattern. For collecting edible samples for testing, the policy directs the employee to isolate 6 items from every 3000 final products produced. In an interview, Facility Agent 1 (FA1), the Operations Manager, and Facility Agent 10 (FA10), the Flower Packaging Supervisor, both stated that they do not utilize the ANSI/ASQ Standard when collecting their samples. Rather, they said, they use a star pattern and collect the minimum amount required by the lab, which is usually 10g. FA1 and FA10 also stated that the sample is collected after a batch of flower is bucked, but before it is cured or packaged. However, the policy stated collections should occur "after drying/curing." B. Based on a review of the policies and procedures, the establishment failed to develop, document, and implement policies and procedures regarding laboratory testing. The findings include: A review of the policy and procedures found that there are no policies for the process for specifying the analytes to be tested for, consistent with R9-18-311(A). The process for requesting retesting of the remaining portion of a sample of marijuana or a marijuana product and the actions to be taken on the basis of laboratory testing results.
A.A.C. R9-18-308(A)(3)A. A marijuana establishment shall: 3. Maintain copies of the policies and procedures at the marijuana establishment's retail site and provide copies to the Department for review upon request.	Based on a documentation review and an interview, a copy of the cultivation's policies and procedures (P&P's) was not provided to the Department upon request. Evidence includes: A documentation review of the P&P provided to the compliance officers found the policies are for the licensee's medical dispensary and not the establishment cultivation. In an interview Facility Agent 1 (FA1), stated the policies and procedures are saved electronically and they do not have access to the document. FA1 refused to ask the Principal Officer/Board Members to send the cultivation's policies and procedures to the Department, even though FA1 was in communication, by telephone, with Principal Officer/Board Member 2.
A.A.C. R9-18-308(A)(6)A. A marijuana establishment shall: 6. Ensure that all principal officers, board members, employees and volunteers providing services for the marijuana establishment maintain valid marijuana facility agent licenses with the Department and that the marijuana facility agent licenses are linked to the marijuana establishment through the Department's electronic system.	Based on observations and a review of Departmental records, numerous facility agents (FA) present at the time of inspection were either not linked to the establishment or had pending links. Findings include: FA1, card number 1748559FADS253368692, was not linked to the establishment, nor had any history of being linked. FA2, card number 1706917FAYO035769396, was not linked to the establishment, nor had any history of being linked. FA3, card number 1707349FASR106657995, was not linked to the establishment, nor had any history of being linked. FA4, card number 1748559FAJA417588930, was not linked to the establishment, nor had any history of being linked. FA5, card number 1697150FAOX522371991, was not linked to the establishment, nor had any history of being linked. FA6, card number 1704487FAUL366146693, link to the establishment was pending.
A.A.C. R9-18-311(B)(2) B. A marijuana establishment shall ensure that: 2. Except as provided in subsection (D), only one sample of each batch of marijuana or marijuana product is collected according to ANSI/ASQ Standard Z1.4 (2018), General Inspection Level II, incorporated by reference, including no future	Based on a documentation review and interviews, the establishment cultivation and manufacturing site failed to ensure that samples of each batch of marijuana or marijuana product were collected according to ANSI/ASQ Standard Z1.4 (2018), General Inspection Level II. Findings include: A batch of YG Wedding Cake, Batch #: 9190-13444-1024, yielded a final harvest of 1483g on 1/23/25. The establishment cultivation site sent a 10g sample to Apollo Labs on 2/13/25 under Batch #: R2.012325-WC. According to the ANSI/ASQ Standard, the

ARIZONA DEPARTMENT OF HEALTH SERVICES
150 N 18th Ave, Suite 400
Phoenix, AZ 85007
602-364-2536

editions, and available at https://asq.org/quality-resources/z14-z19, including: a. Use, as applicable, of one of the following sampling methods: i. Top, middle, and bottom sampling using a sample thief, a device consisting of two nested tubes with one or more aligned slots through which a sample may be collected and then sealed into the inner tube by rotating the outer tube; ii. Star pattern sampling from the top, middle, and bottom of each storage container; iii. Collecting discrete incremental units of a batch, such as every 10th unit or every 20th drop; or iv. Quartering until the sample reaches the size specified in subsection (B)(3); and b. For sampling methods specified in subsections (B)(2)(a)(i) through (iii), quartering the volume of the aggregated portions collected to obtain the sample size specified in subsection (B)(3);	correct sample amount should have been 125g. In interviews, Facility Agent 1 (FA1), the Operations Manager, and Facility Agent 10, the Flower Packaging Supervisor, both stated that they do not utilize the ANSI/ASQ Standard when collecting their samples. Rather, they said, they use a star pattern and collect the minimum amount required by the lab, which is usually 10g. A review of the establishment's policies and procedures for collecting samples for laboratory testing reveals that it does not mention the use of ANSI/ASQ. Rather, for collecting flower samples, it directs the employee to utilize a star pattern to collect 16g from the strain that yielded the most for full panel testing, and to collect 1g from all other strains from that room/harvest for potency testing. For collecting edible samples for testing, the policy directs the employee to isolate 6 items from every 3000 final products produced.
A.A.C. R9-18-312(D)(1) D. Before transportation, a marijuana facility agent of a marijuana establishment shall: 1. Complete a trip plan that includes: a. The name of the marijuana facility agent in charge of transporting the marijuana, marijuana plants, or marijuana products; b. The license plate number of the vehicle being used to transport the marijuana, marijuana plants, or marijuana products; c. The date and start time of the trip; d. A description of the marijuana, marijuana plants, or marijuana products being transported; e. Any anticipated stops during the trip, including the locations of the stops and estimated arrival time and departure time for each location; and f. The anticipated route of transportation; and	Based on a documentation review, trip plans did not include the license plate number of the vehicle being used to transport marijuana, marijuana plants, or marijuana products. Evidence includes: A documentation review revealed two out of two trip plans did not include the license plate number of the vehicle used to transport marijuana, marijuana plants, or marijuana products. On 7/24/25, two separate trips occurred. Transfer #13397, 13398 and 13399, and Transfer 13401, including the map directions, were reviewed but they did not include the license plate number of the vehicle being used to transport marijuana, marijuana plants, or marijuana products.
A.A.C. R9-18-312(E)(2) E. During transportation, a marijuana facility agent shall: 2. Use a vehicle that has a current registration with the Arizona Department of Motor Vehicles, issued according to A.R.S. Title 28, Chapter 7, Article 2: a. Without any marijuana identification; b. Equipped with a global positioning system or other means for the marijuana establishment to track the current location of the vehicle at any point in time; c. Capable of providing electronic information about where the vehicle has been during at least the previous 90 days; d. With operational video surveillance and recording equipment that: i. Shows the interior of the vehicle, including the driver's seat and location of the marijuana, marijuana plants, or marijuana products being transported; ii. Is turned on for the duration of a trip while marijuana or a marijuana product is in the vehicle; and iii. Either stores the recording for at least 30 calendar days or transmits the recorded images at the time of recording to another location, where the recorded images are stored for at least 30 calendar days; and e. With a locked	A. Based on an interview and an observation, the establishment could not provide electronic information about where the vehicle had been during the previous 90 days. Evidence includes: On 07/24/25, Facility Agent 1 (FA1) reported they were not able to provide electronic information showing where their marijuana transport vehicle had traveled during any of the previous 90 days. FA1 reported they do not have access to the electronic information. FA1 reported they would reach out to the business that stores the information. FA1 reported it would take more than 24 hours to obtain the information. On 07/25/25, FA1 sent an e-mail to the Principal Officer/Board Member 1 (POBM1) requesting the information be submitted to the Department. The Department was copied on the correspondence. On 07/30/25, POBM1 sent two JJ Empire videos and one zip video demonstrating videos were stored and could be retrieved days prior to the inspection. Two videos are dated 04/25/25. The third video, a zip attachment could not be viewed. Two recorded videos shows a male backing up a vehicle on the property or sitting in the vehicle. A second recorded video screen shows the cultivation property. A third screen shows an accelerometer. The recordings do not show, as initially requested, where the vehicle has been on that day. The video provided could not be matched to any invoices and trip plans to verify the accuracy of the submitted recordings. B. Based on a documentation review, an observation, and an interview, the establishment could not demonstrate operational video surveillance and recording equipment showing the location of the marijuana, marijuana plants, or marijuana products being transported. Evidence includes: Based on a documentation review of Transfer #13397, 13398, 13399 and 13401, marijuana and marijuana products were transported

ARIZONA DEPARTMENT OF HEALTH SERVICES
150 N 18th Ave, Suite 400
Phoenix, AZ 85007
602-364-2536

compartment in which any marijuana, marijuana plants, or marijuana products being transported may be stored during a trip;	on 07/24/25 to 4456 E. Thomas Rd. Phoenix, AZ 85018. An observation of security footage found the transporting facility agent was captured on video recordings; however, the marijuana and marijuana products transported in the back of the vehicle could not be observed. In an interview, Facility Agent 1 (FA1) acknowledged they could not show recording images of marijuana being transported.
A.A.C. R9-18-312(F)(1) F. After transportation, a marijuana facility agent shall 1. Enter the end time of the trip and any changes to the trip plan on the trip plan required in subsection (D)(1), and	Based on a documentation review and an interview, a facility agent failed to make changes to the trip plan required in subsection (D)(1). Evidence includes: Transfer #13397, 13398 and 13399, were completed on 07/24/25. The invoices and travel map indicated the marijuana product was transferred from the off-site cultivation to the retail store located near 44th street and Thomas. The invoice and trip manifest provide specific directions for the facility agent to travel. The primary roads to be used included Washington, 40th Street, Van Buren and 48th Street. The invoice and manifest were compared to the establishment's global positioning system (GPS). GPS mapping indicated the primary roads used were Washington and 44th Street. The trip plan does not include any changes to the anticipated route. In an interview, Facility Agent 1 (FA1) acknowledged the trip manifest and the GPS system documented different routes. FA1 acknowledged the trip plan does not include any changes to the anticipated trip.
A.A.C. R9-18-312(G)(3) G. A marijuana establishment shall: 3. Provide a copy of the documents required in subsection (D)(2) and (F) to the Department for review upon request.	Based on an interview, the establishment failed to provide documents required in subsection (D)(2) upon request. Evidence includes: In an interview, Facility Agent 1 (FA1) reported they were not able to provide any trip plans 30 days prior to 07/24/25. FA1 reported they do not have access to completed trip plans and corresponding invoices. FA1 reported trips are completed and the invoices and trip plans are placed in a bin on the desk. Employee 1 (E1), an accountant who works from home, comes to the establishment to obtain the trip plans and invoices. E1 scans the documents into an electronic system. FA1 was asked to call E1 and have them email a document to pull corresponding video. FA1 reported E1 was on a plane to Chicago.
A.A.C. R9-18-312(I)(1)(c) I. To prevent unauthorized access to marijuana or a marijuana product at the marijuana establishment's retail site and, if applicable, the marijuana establishment's cultivation site or manufacturing site, the marijuana establishment shall have the following: 1. Security equipment to deter and prevent unauthorized entrance into limited access areas that include: c. Electronic monitoring including: i. At least one 19-inch or greater call-up monitor; ii. A printer capable of immediately producing a clear still photo from any video camera image; iii. Video cameras: (1) Providing coverage of all entrances to and exits from limited access areas and all entrances to and exits from the building, capable of identifying any activity occurring in or adjacent to the building; and (2) Having a recording resolution of at least 704 x 480 or the equivalent; iv. A video camera at each point of sale location within the marijuana establishment’s retail site allowing for the identification of any consumer purchasing marijuana or a marijuana product; v. A video camera in each grow room capable of identifying any activity occurring within the grow room in low light conditions; vi. Storage of video recordings from the video cameras for at least 30 calendar days; vii. A failure notification system that provides an audible and visual notification of any failure in the electronic	Based on an observation of video surveillance footage, the marijuana establishment’s cultivation site failed to store video recordings for at least 30 calendar days. Findings include: While reviewing video playback, Facility Agent 1 (FA1) said the marijuana establishment could only retrieve digital recordings of storage capability going back to July 15, 2025 which is 9 days of recordings. In an interview, FA1 stated a work order ticket would be submitted to the Information Technology Department to fix the issue.

ARIZONA DEPARTMENT OF HEALTH SERVICES
150 N 18th Ave, Suite 400
Phoenix, AZ 85007
602-364-2536

monitoring system; and viii. Sufficient battery backup for video cameras and recording equipment to support at least five minutes of recording in the event of a power outage; and	
A.A.C. R9-18-312(I)(2) I. To prevent unauthorized access to marijuana or a marijuana product at the marijuana establishment's retail site and, if applicable, the marijuana establishment's cultivation site or manufacturing site, the marijuana establishment shall have the following: 2. Policies and procedures: a. That provide for the identification of authorized individuals; b. That deter unauthorized removal of marijuana or marijuana products from the premises, including: i. Restricting access to the areas of the marijuana establishment's retail site where marijuana is cultivated, processed or stored and, if applicable, the marijuana establishment's cultivation site or manufacturing site; and ii. Ensuring that an individual other than a principal officer, board member, or marijuana facility agent associated with the marijuana facility is supervised by a marijuana facility agent associated with the marijuana establishment when in an area specified in subsection (I)(2)(B)(i); c. That prevent loitering; d. For conducting electronic monitoring; and e. For the use of a panic button	Based on an observation of two out of two panic button tests the establishment failed to have a functional panic button. Findings include: On two separate occasions, the panic button was depressed by Facility Agent 2 (FA2) and Facility Agent 3 (FA3), but the tests did not trigger an alarm. An observation of Facility Agent 1 (FA1), who was on a speakerphone call with a security company representative, found that the security company did not receive a signal or notifications from the activated panic button.
A.A.C. R9-18-314(E) E. A marijuana establishment shall: 1. Maintain the documentation required in subsections (C) and (D) at the marijuana establishment for at least five years after the date on the document, and 2. Provide the documentation required in subsections (C) and(D) to the Department for review upon request.	Based on a documentation review and an interview, the establishment failed to provide documentation required in subsection (C) upon request. Evidence includes: A documentation review revealed two out of three invoices for acquiring marijuana or marijuana product were not provided to Compliance Officer 1 (CO1) when requested. In an interview FA1 was asked to provide two more invoices for acquiring marijuana or marijuana products. FA1 reported they were unable to provide any other documents. FA1 pointed to the basket on the desk. FA1 acknowledged returns are generally accepted for disposal. The products are destroyed and placed in the basket on the desk. Employee 1 (E1) then comes to the site to collect the documents and scan them into the inventory system. FA1 reported they do not have access to the documents. When FA1 was asked to phone E1 who works off site, FA1 reported E1 was on a plane to Chicago and could not be reached.

Technical Assistance

In addition to the citation of deficiencies, Bureau Compliance Officers offered the following technical assistance and guidance to the facility.

Item Description
A.A.C. R9-18-314(C)(6) C. A marijuana establishment shall establish and implement an inventory control system for the marijuana

ARIZONA DEPARTMENT OF HEALTH SERVICES
150 N 18th Ave, Suite 400
Phoenix, AZ 85007
602-364-2536

establishment's marijuana and marijuana products that documents: 6. For disposal of marijuana or a marijuana product that is not to be sold, transferred, or used for making a marijuana product: a. Description of and reason for the marijuana or marijuana product being disposed of including, if applicable: i. The number of failed or other unusable plants, and ii. The results of laboratory testing; b. Date of disposal; c. Method of disposal; and d. Name and license number of the marijuana facility agent responsible for the disposal.